

School of Accounting Economics & Finance
Faculty of Business

Student to complete:

Family name	
Other names	
Student number	
Table number	

ACCY111
Accounting Fundamentals in Society,
Singapore

Final Examination
Trimester X, 20XX

Exam duration	3 hours
Items permitted by examiner	UOW Approved Calculator
Aids supplied	nil
Directions to students	This paper has seven questions. Each question is worth different marks. Total 100 marks. Start answer to each question on a separate page. This examination paper is printed on both sides.

Question 1**(8 marks)**

The following account balances have been taken from the general ledger of Modern Dance Studio as at 30 September 2016. The account balances are listed in alphabetical order. The accounting year ends on 30 September 2016.

Account	Balance (\$)
Accounts payable	3,000
Accounts receivable	410
Advertising expense	2,000
Capital	24,300
Cash	1,600
Dancing fees	12,400
Drawings	800
Electricity expense	4,600
Equipment	5,000
Gas expense	600
Interest expense	1,000
Land	17,790
Rent expense	2,400
Wage expense	3,500

Required:

Prepare a trial balance as at 30 September 2016 from the general ledger balances given above.

Question 2**(20 marks)**

Jude Lum is the owner of JL Architects. Following accounts are maintained in the general ledger of JL Architects-

- Accounts payable
- Accounts receivable
- Architectural revenue
- Capital
- Cash
- Office supplies expense
- Office rent expense
- Salaries expense
- Service revenue
- Unearned revenue

The following transactions and events occurred during the month of January 2016:

January 1 Introduced \$25,000 in cash as capital
January 2 Hired a secretary at a salary of \$1,200 payable at the end of each month
January 10 Paid office rent of \$1,300 for the month of January
January 15 Purchased supplies for \$1,234 on account
January 17 Billed Eric Chan, a client, \$2,500 for drawings completed
January 18 Received \$3,000 as advance from a client for job to be completed in March
January 25 Received \$2,000 on account from Eric Chan
January 26 Paid full amount due for purchase of supplies on 15 January
January 31 Paid office salaries of \$1,200 to the secretary

Required:

Prepare the general journal entries to record the transactions that occurred during January 2016. Include narrations. Ignore GST.

Question 3

(18 marks)

Windy Co (WC) is the distributor of Koolfans, a popular brand of table fans mostly used by the students. WC purchases these fans from the manufacturer at a standard price of \$60 each. The selling price of each fan is \$90. WC uses a perpetual inventory system.

On 1 October 2016, WC had in stock 80 fans valued at \$60 each. Following transactions occurred during the month of October:

October 12	Purchased from the distributors 100 fans at \$60 each on credit
18	Sold 110 fans to the students at \$90 each on credit
24	Returned 8 fans to the distributors for quality issues
28	A student returned 2 fans as she was leaving town

Required:

a) Prepare general journal entries to record the transactions. Include narrations. Ignore GST.

(15 marks)

b) Prepare the income statement for the month of October 2016 showing the gross profit for the month.

(3 marks)

Question 4**(15 marks)**

The following balances have been taken from the unadjusted trial balance of Koonalda Plumbing Services as at 30 June 2016.

	Debit \$	Credit \$
Rent expense	11,000	
Supplies	2,690	
Prepaid Insurance	3,000	
Unearned revenue		6,200
Office equipment	5,000	
Accumulated depreciation- office equipment		3,000

Following additional information is available for which no adjusting entries have been made:

- (i) Depreciation of \$1,000 has to be provided for the office equipment for the year ended 30 June 2016.
- (ii) Prepaid insurance of \$3,000 represents the amount paid in July 2015 for the 15-month period ending in September 2016.
- (iii) Supplies worth \$567 were still on hand as at 30 June 2016.
- (iv) Office rent of \$1,000 for the month of June 2016 was not paid until 27 July 2016.
- (v) Unearned revenue of \$6,200 includes \$4,000 for services completed by 30 June 2016.
- (vi) \$500 interest due up to 30 June 2016 has not been recorded in the books.

Required:

Prepare the general journal entries required to make necessary adjustments. Include narrations.

Question 5**(10 marks)**

Here is the summarised Statement of Financial Position of Bedok Co:

Assets	As at 30/6/16	As at 30/6/15
	\$	\$
Non-current assets less accumulated depreciation	240,600	245,700
Current assets-		
Cash	6,200	9,400
Inventory	80,700	71,300
Accounts Receivable	105,000	103,500
Total assets	432,500	429,900
Liabilities and Owners' equity		
Loan (repayable in 2020)	150,000	150,000
Current liabilities	115,000	120,000
Total liabilities	265,000	270,000
Owners' equity	167,500	159,900
Total Liabilities and Owners' equity	432,500	429,900

Here is the Summarised Income Statement of Bedok Co for the year ended 30 June 2016:

	\$
Sales	980,500
Cost of goods sold	570,700
Gross profit	409,800
Operating expenses	350,000
Net profit	59,800

Required:

Calculate the following ratios for the year ending 30 June 2016.

- i) Gross profit margin (2 marks)
- ii) Expense ratio (2 marks)
- iii) Current ratio (2 marks)
- iv) Average collection period (days) (2 marks)
- v) Inventory turnover (times) (2 marks)

Question 6**(20 marks)**

Dr Robert Lim owns Thomson Dental Clinic. Following balances are taken from the adjusted trial balance of Thomson Dental Clinic as at 30 June 2016.

Account	Debit \$	Credit \$
Cash	3,600	
Accounts Receivable	6,945	
Supplies on Hand	855	
Land and Building	128,700	
Accumulated Depreciation- Land and Building		32,850
Dental Equipment	20,125	
Accumulated Depreciation- Dental Equipment		4,815
Accounts Payable		5,970
Unearned Revenue		1,170
Mortgage Payable		105,665
Robert Lim - Capital		41,550
Robert Lim - Drawings	39,585	
Revenue Earned		78,430
Salaries expense	65,940	
Insurance Expense	1,260	
Advertising Expense	570	
Utilities Expense	1,305	
Interest Expense	1,565	
	270,450	270,450

Required:

- a) Prepare an Income Statement for Thomson Dental Clinic for the year ended 30 June 2016.

(7 marks)

- b) Prepare a Statement of Financial Position for Thomson Dental Clinic as at 30 June 2016.

(13 marks)

Question 7**(9 marks)**

Identify any **three** limitations of financial statement analysis and briefly explain each of the limitations identified.

End of exam paper

Answer 1

Modern Dance Studio
Trial Balance as at 30 September 2016

Account	Debit \$	Credit \$
Accounts payable		3,000
Accounts receivable	410	
Advertising expense	2,000	
Capital		24,300
Cash	1,600	
Dancing fees		12,400
Drawings	800	
Electricity expense	4,600	
Equipment	5,000	
Gas expense	600	
Interest expense	1,000	
Land	17,790	
Rent expense	2,400	
Wage expense	3,500	
Total	39,700	39,700

Answer 2

JL Architects				
(ignore GST)				
			Debit \$	Credit \$
Jan.	1	Cash	25,000	
		Capital		25,000
		Introduction of capital in cash		
	10	Office rent expense	1,300	
		Cash		1,300
		Payment of office rent in cash		
	15	Office supplies	1,234	
		Accounts payable		1,234
		Purchase of office supplies on account		
	17	Accounts receivable	2,500	
		Architectural revenue		2,500
		Billing client for completed job		
	18	Cash	3,000	
		Unearned revenue		3,000
		Cash received for job to be completed in March		
	25	Cash	2,000	
		Accounts receivable		2,000
		Cash received from Eric Chan on account		
	26	Accounts payable	1,234	
		Cash		1,234
		Payment for office supplies purchased on 15 Jan		
	31	Salaries expense	1,200	
		Cash		1,200
		Payment of office salaries		

Answer 3**a)**

Windy Co				
(ignore GST)				
2016			Debit \$	Credit \$
Oct.	12	Inventory	6,000	
		Accounts payable		6,000
		Purchased 100 fans at \$60 each on credit		
	18	Accounts receivable	9,900	
		Sales		9,900
		Sold 110 fans at \$90 each on credit		
	18	Cost of sales	6,600	
		Inventory		6,600
		Recognition of cost of goods sold		
	24	Accounts payable	480	
		Inventory		480
		Return of 8 fans to distributor		
	28	Sales	180	
		Accounts receivable		180
		Return of 2 fans by a student		
	28	Inventory	120	
		Cost of sales		120
		Reinstatement of inventory for returned goods		

b)

Windy Co
Income statement
For the month of October 2016

	\$
Sales (9,900 - 180)	9,720
Less cost of sales (6,600 - 120)	6,480
Gross profit	3,240

Answer 4

Koonalda Plumbing Services				
2016			Debit \$	Credit \$
June	30	Depreciation expense	1,000	
		Accumulated depreciation - office equipment		1,000
		Adjustment for depreciation expense		
	30	Insurance expense	2,400	
		Prepaid insurance		2,400
		Adjustment for insurance expense expired		
	30	Supplies expense	2,123	
		Supplies		2,123
		Adjustment for supplies still on hand		
	30	Office rent expense	1,000	
		Accrued rent		1,000
		Adjustment for office rent due but not paid		
	30	Unearned revenue	4,000	
		Service revenue		4,000
		Adjustment for services completed in the year		
	30	Interest receivable	500	
		Interest income		500
		Adjustment for interest due but not received		
		Total		

Answer 5

	Formula	Figures	Answer
Gross profit margin	$\frac{\text{Gross profit}}{\text{Revenue}} * 100$	$\frac{409,800 * 100}{980,500}$	41.8%
Expense ratio	$\frac{\text{Expense}}{\text{Revenue}} * 100$	$\frac{350,000 * 100}{980,500}$	35.7%
Current ratio	$\frac{\text{Current assets}}{\text{Current liabilities}}$	$\frac{191,900}{115,000}$	1.7 times
Average collection period	$\frac{\text{Average AR}}{\text{Revenue}} * 365$	$\frac{104,250 * 365}{980,500}$ [(105000+103500)/2]	39 days
Inventory turnover (times)	$\frac{\text{COGS}}{\text{Average inventory}}$	$\frac{570,700}{76,000}$ [(80700+71300)/2]	7.5 times

Answer 6

Thomson Dental Clinic
Income statement
For the year ended 30 June 2016

	\$	\$
Revenue earned		78,430
Less expenses		
Salaries	65,940	
Insurance	1,260	
Advertising	570	
Utilities	1,305	
Interest	1,565	
		70,640
Profit		7,790
Total		

Thomson Dental Clinic
Statement of financial position
As at 30 June 2016

	\$	\$	\$
<u>Assets</u>			
Non-current:			
Land and building	128,700		
Less Accumulated depreciation	<u>32,850</u>	95,850	
Dental equipment	20,125		
Less Accumulated depreciation	<u>4,815</u>	<u>15,310</u>	
			111,160
Current:			
Cash		3,600	
Accounts receivable		6,945	
Supplies		<u>855</u>	
			<u>11,400</u>
Total assets			122,560
<u>Liabilities</u>			
Non-current:			
Mortgage payable		105,665	

Current:			
Accounts payable	5,970		
Unearned revenue	<u>1,170</u>	<u>7,140</u>	
Total liabilities			112,805
Equity			
Capital		41,550	
Add Profit		<u>7,790</u>	
		49,340	
Less Drawings		<u>39,585</u>	
Equity			9,755
Total liabilities and equity			122,560
Total			

Answer 7

Some limitations of financial statement analysis are:

- (1) Historical data used in financial statement analysis may not be a good predictor for future performance due to changes in economy, business environment, and the entity's internal factors. In addition, financial statements also contain numerous estimates, for example in determining depreciation expense. Inaccurate estimates will reduce the quality of the financial statements and hence the quality of any financial analysis.
- (2) Using historical cost, or modified historical cost, as the measurement base in calculating ratios for financial statement analysis may provide misleading information given that inflation and changes in fair value are not taken into consideration.
- (3) Financial statement analysis mostly uses financial year-end data in calculating performance measures, which may not be typical or representative of the entity's position and financial condition during the year.
- (4) Lack of disclosures in the general purpose financial reports may inhibit the extent of the analysis. Furthermore, sometimes the information contained in the financial reports may be subject to modifications, supplementations, and/or qualifications expressed in other documents such as directors' reports. Failure to take this additional information into consideration will negatively impact on the financial statement analysis prepared.
- (5) Performance trends may be difficult to determine due to the existence of one-off or non-recurring items in a statement of profit or loss and other comprehensive income.
- (6) Entities operating in the same industry may not be comparable due to differences in size, accounting methods, and diversification of product lines. Hence, comparing financial ratios between entities has limitations.